# 26STCV04628 26STCV04628

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Worldwide Subsidy Group, LLC v. Azteca International Corporation

Tuesday, June

23,

2026

[TENTATIVE] ORDER

SUSTAINING DEMURRER TO PLAINTIFF’S COMPLAINT (1154)

I.

BACKGROUND

The

complaint alleges that Plaintiff collects royalties distributed by agencies

around the world, including royalties derived from the secondary transmission

of sports programming film and television programs by cable and satellite

systems. Defendant, a producer and owner of professional sports broadcasts and television programs, entered into contract with Plaintiff wherein Defendant assigned its rights to collect royalties to Plaintiff in return for 20 per commission of the distribution proceeds.

Plaintiff alleges Defendant breached the contract by failing to cooperate with Plaintiff in collection of fees resulting in damage of $3,200,000. The complaint alleges claims for breach of contract and breach of the implied duty of good faith and fair dealing.

Defendant argues that the contract was terminated in 2017. Since there is no contract, the breach of the implied duty of good faith and fair dealing claim fails. The bad faith claim is duplicative of the breach of contract claim. Plaintiff lacks standing to sue on any contract.

II. LEGAL STANDARDS

A demurrer tests the sufficiency of a complaint as a matter of law and raises only questions of law. (Schmidt v. Foundation Health (1995) 35 Cal.App.4th 1702, 1706.) In testing the complaint's sufficiency, the court must assume the truth of the properly pleaded factual allegations as well as facts that can be reasonably inferred from those expressly pleaded facts. The court may also consider matters properly subject to judicial notice. (Blank v. Kirwan (1985) 39 Cal.3d 311, 318.) The court may not consider contentions, deductions, or conclusions of fact or law. (Moore v. Conliffe (1994) 7 Cal.4th 634, 638.) Plaintiff is required to allege facts sufficient to establish every element of each cause of action. (Rakestraw v. California Physicians Service (2000) 81 Cal.App.4th 39, 43.) Where the complaint fails to state facts sufficient to constitute a cause of action, courts should sustain the demurrer. Code Civ. Proc., § 430.10(e); (Zelig v. County of Los Angeles (2002) 27 Cal.4th 1112, 1126.)

Sufficient facts are the essential facts of the case "with reasonable precision and with particularity that is sufficiently specific to acquaint the defendant with the nature, source, and extent of his cause of action." (Gressley v. Williams (1961) 193 Cal.App.2d 636, 643-644.) Whether the Plaintiff will be able to prove the pleaded facts is irrelevant. (Stevens v. Superior Court (1986) 180 Cal.App.3d 605, 609–610.)

A demurrer may also be sustained if a complaint is "uncertain." Uncertainty exists where a complaint's factual allegations are so confusing, they do not sufficiently apprise a defendant of the issues it is being asked to meet. (Williams v. Beechnut Nutrition Corp. (1986) 185 Cal.App.3d 135, 139, fn. 2; Code Civ. Proc., § 430.10(f).)

A pleading is required to assert general allegations of ultimate fact. Evidentiary facts are not required. (Quelimane Co. v. Stewart Title Guaranty Co. (1998) 19 Cal. 4th 26, 47; Lim v. The.TV Corp. Internat. (2002) 99 Cal. App. 4th 684, 690.)

III.

DISCUSSION

A.

Breach of contract

To state a cause of action for breach of contract, the plaintiff must allege and prove facts showing (1) the existence of the contract, (2) the plaintiff's performance or excuse for nonperformance, (3) the defendant's breach, and (4) resulting damages to the plaintiff. (Maxwell v. Dolezal (2014) 231 Cal.App.4th 93, 97–98.)

The complaint alleges the parties entered into a one-year contract on January 12, 2015. (Complaint, ¶ 7.) The parties entered into a second agreement to extend the term through the end of 2017. (Complaint, ¶8.) Plaintiff alleges that a July

29, 2019, email stated that Defendant "understood" that Plaintiff would submit claims for royalties on behalf of Defendant "for every year going forward" to which Plaintiff also agreed in writing. (Complaint, ¶ 9.) This is alleged to be the Ongoing Agreement. (Id.)

Plaintiff attaches the "Ongoing Agreement" on which the claims are based. The email thread reveals that Plaintiff informed Defendant that it had to make a claim for 2018 royalties otherwise they would be forfeited as a matter of law. Plaintiff also stated it would not be making the filing for 2018 royalties. (Complaint, ¶ Ex. C.)

Defendant responded that it provided all information and confirmed the parties' agreement that Plaintiff would file the claims for royalties on behalf of defendant. (Id.) Plaintiff confirmed the filing would be made for 2018 royalties.

Defendant then responded: "Thank you for clarifying. To be clear, you are not going to be contacting us each year about this, as our understanding is that you will be making claim each year for collection of royalties attributable to our programming. Please inform me if this is not the case." (Id.)

Plaintiff alleges "That same day, July 29, 2019, [Plaintiff] confirmed in writing that [Defendant] and [Plaintiff] were in agreement that [Plaintiff] would continue to submit claims for royalties on behalf of Defendant for all years beyond 2017, terminable upon the same terms as the Initial Agreement and Second Agreement, i.e., completion of the first full calendar semi-annual period following written notice by either party. ("the Ongoing Agreement", attached hereto as Exhibit C and incorporated herein by reference)." (Complaint ¶ 9.) Plaintiff sues for fees generated by the 2018-2022 claims. (Complaint, ¶ 15.)

Exhibits attached to the complaint that contradict allegations take precedence. (Mead v. Sanwa Bank California (1998) 61 Cal.App.4th 561, 567–568 ["If the facts appearing in the attached exhibit contradict those expressly pleaded, those in the exhibit are given precedence."].)

Plaintiff does not allege that it responded to Defendant with an email confirming that "this was the case" much less a discussion of the terms of the agreement "going forward." Exhibit C contradicts with paragraph 9 of the complaint. At most, Exhibit C supports that the parties agreed that Plaintiff would submit a claim on behalf of Defendant for 2018 royalties.

The

allegations do not support the existence of a contract for recovering 2018-2022 royalties.

The opposition refers to “post-term” collection rights and to language in the first agreement. Plaintiff is not suing on either the first or second agreement. Plaintiff alleges that there is an Ongoing agreement that continued indefinitely on the same terms, which as explained above, Exhibit C does not state a contract to collect royalties for an unlimited term.

To the extent Plaintiff now argues that a “post-term collection” right exists, Plaintiff does not allege facts to support it.

B. Breach of the implied duty of good faith and fair dealing

To prevail on a claim for breach of the implied covenant of good faith and fair dealing, the plaintiff must first establish “the existence of a contractual relationship between the parties, since the covenant is an implied term in the contract. Secondly, benefits due under the contract must have been withheld, and the reason for withholding benefits must have been unreasonable or without proper cause.” (Love v. Fire Ins. Exchange (1990) 221 Cal.App.3d 1136, 1151)

As set forth above, an existing contractual relationship does not exist in which the covenant could be implied. Therefore, this claim also fails.

C. Plaintiff’s standing to sue.

The complaint does not allege claims based on the Initial Agreement between Independent Producers Group and Defendant. (Complaint, Ex A.) Neither is Plaintiff suing on the First Amendment to Representation Agreement between Spanish Language Producers successor-in-interest to Independent Producers Group. As stated above, the allegations do not support the existence of a third Ongoing Agreement.

If Plaintiff intends to rely on the first or second agreements, the standing issue would have merit as Worldwide Subsidy Group, LLC is not a party to either agreement, and Plaintiff’s claim in opposition that the signatories are registered fictious business names for Plaintiff is not alleged in the complaint.

IV. CONCLUSION

Based on the foregoing, Defendant's demurrer to the complaint is SUSTAINED. Plaintiff believes it can "allege the existence and breach of a second agreement, applicable to AIC-controlled secondary rights royalties attributable to calendar years 2018 and prospectively." (Opp. 193-4.) Therefore, Plaintiff is granted 30 days leave to amend.